Assessment 2: Oceanview Pilates Studio Xero Practical Task

Case Study

On 1 August 2025, Suzana P opened Oceanview Pilates Studio, located at 88 Marine Parade, Wollongong, NSW 2500. As Suzana's accountant, your role is to set up the business in Xero, record its first month of transactions, post adjusting entries, and prepare financial statements.

Selected Accounts

- Cash at Bank, Prepaid Insurance, Supplies, Studio Equipment, Accumulated Depreciation – Studio Equipment
- Accounts Payable, Wages Payable, Short-Term Loan, Capital – Suzana P, Drawings – Suzana P
- Service Revenue
- Rent Expense, Wages Expense, Insurance Expense, Supplies Expense, Utilities Expense
- Clearing: Profit/Loss Summary

Notes:

- You may need to add accounts to the chart of accounts.
- When registering the business name, include your student number in brackets - **Oceanview Pilates Studio (Student No).**

Transactions (August 2025)

1. Aug 1 – Suzana invested $20,000 into the business bank account.
2. Aug 1 – Paid $3,000 cash for a six-month insurance policy.
3. Aug 4 – Purchased supplies (yoga mats, cleaning products, towels) on account from Active Supplies Co. for $1,200, due 3 September.
4. Aug 5 – Purchased studio equipment from Kiki's Equipment Studio (Pilates reformers, resistance bands, mirrors) for $12,000. Paid $4,000 in cash, balance on account.
5. Aug 8 – Issued an invoice to Coastal Mining Ltd for corporate wellness sessions, $5,500.
6. Aug 12 – Paid instructor wages, $2,200.
7. Aug 15 – Took out a $6,000 short-term loan from ANZ (annual interest 10%).
8. Aug 18 – Received $5,500 cash from Coastal Mining Ltd for invoice.
9. Aug 20 – Received $3,200 cash for Pilates memberships.
10. Aug 22 – Paid $600 cash for utilities.
11. Aug 25 – Received $2,400 in advance for a September corporate Pilates contract (recorded as unearned revenue).
12. Aug 26 – Paid instructor wages, $2,200.
13. Aug 28 – Paid $600 to Active Supplies Co.
14. Aug 31 – Suzana withdrew $1,000 cash for personal trip to Bali.

Adjusting Entries (31 August 2025)

1. Prepaid Insurance: One month of insurance expired.
2. Supplies: Physical count shows only $500 supplies remain.
3. Depreciation: Studio equipment depreciation for August = $200.
4. Unearned Revenue: Half of the $2,400 received in advance is now earned.
5. Accrued Wages: Instructors are owed $600 for work performed but not yet paid.

Required:

a) Prepare a Chart of Accounts for Oceanview Pilates Studio.
b) Record all transactions. Include both Journal Entries and Adjusting Entries for all transactions that occurred for the month of August 2025 (1-31 August).
c) Generate the Income Statement for the month ended 31 August 2025.
d) Generate the Balance Sheet as at 31 August 2025.

Moodle Upload Instructions:

After completing the assessment in Xero, generate and upload a single file (file name = student name as per the record) which has following four reports combined into one single file in the following order:

1. Chart of Accounts
2. Journal Report
3. Income Statement
4. Balance Sheet

IMPORTANT - Submission standards:

- **PDFs** must be exported directly from Xero (no scans or screenshots).
- Files not exported from xero software will automatically receive a score of zero / nil.
- Your **student number** must appear on every PDF, the journal report will also display **your name**.
- Use your **student email** to set up the Xero trial and account.
- Files in **Word or Excel** or PDF which are not directly exported from xero software or those without correct student details as a header on the reports will not be marked and will receive **zero marks**.